However, India should concentrate on the production of wheat in which she enjoys a comparative cost advantage. (80/120 < 90/100). For America the comparative cost disadvantage is lesser in cloth production. Hence America will specialize in the production of cloth and export it to India in exchange for wheat. (Any exchange ratio between 0.88 units and 1.2 units of cloth against one unit of wheat represents gain for both the nations). With trade, India can get 1 unit of cloth and 1 unit of wheat by using its 160 labour units. In the absence of trade, for getting this benefit, India will have to use 170 units of labour. America also gains from this trade. With trade, America can get 1 unit of cloth and one unit of wheat by using its 200 units of labour. Otherwise, America will have to use 220 units of labour for getting 1 unit of cloth and 1 unit of wheat.

Criticisms

1. Labour cost is a small portion of the total cost. Hence, theory based on labour cost is unrealistic.
2. Labourers in different countries are not equal in efficiency.

7.5.4. Modern Theory of International Trade

Introduction

The modern theory of international trade was developed by Swedish economist Eli Heckscher and his student Bertil Ohlin in 1919. This model was based on the Ricardian theory of international trade. This theory says that the basis for international trade is the difference in factor endowments. It is otherwise called as '**Factor Endowment Theory'.**

Factor endowment model

- Developed by Heckscher and Ohlin
- Countries with a relative factor abundance can specialise and trade
  - Abundance of skilled labour → specialisation → export → exchange for goods are services produced by countries with abundance of unskilled labour
  - **Exports** embody the **abundant factor**
  - **Imports** embody the **scarce factor**
  - Assumes a high degree of **factor mobility**

The Theory

The classical theory argued that the basis for foreign trade was comparative cost difference and it considered only labour factor. But the modern theory of international trade explains the causes for such comparative cost difference. This theory attributes international differences in comparative costs to:

i) difference in the endowments of factors of production between countries, and

ii) differences in the factor proportions required in production.

Assumptions

1. There are two countries, two commodities and two factors. (2x2x2 model)

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